How I Sell Put Options for Extra Income to Live the F.I.R.E. Lifestyle (Vol. 6)

FIRE stands for “Financially Independent Retire Early."

*Disclaimer: This is not investment advice! I’m just a man sharing what works best for me in my own passive income portfolio.

For live examples of how I sell put options, call me anytime!

Or, you can follow my F.I.R.E portfolio service for daily options trades by clicking the link below.

My FIRE Portfolio Service:
https://www.youtube.com/channel/UCNPeflW6gWbswQom6NSCa_g/join

Chapter 1:

Why Do I Sell Put Options?

Selling put options is a huge part of my success because they provide another substantial source of income in the form of premiums, in addition to my dividends.

- You can also sell puts anytime volatility is spiked, even on up days (even though it's ideal to sell puts on down days).

- Options don't necessarily act as qualifying income to banks for loans, like dividends do.

- But, selling options lowers margin interest, gets me long exposure to the indexes & key asset classes that I need.

- They also satisfy my FOMO (fear of missing out) in certain stocks/asset classes that I wouldn't typically own outright, since they don't have dividends (like Bitcoin).

- In exchange for less dividends, however, these options have high volatility, or growth potential, which is great for selling put options.

These higher premiums, in return, allow me to pay down margin, or invest in other dividend paying names, exponentially growing our income in the process.

Chapter 2:

Selling Puts Lowers Risks in The Names That You WANT To Own Anyway

Go For Complete Diversification!

The reoccurring theme of my investment strategy is to STAY INDEXED. It's the same with selling put options.

I try to create a mini-portfolio comprised of options within my portfolio that is completely diversified, and indexed.

This layering of indexes upon indexes within my portfolio, in one form or another, is what gives me my outperformance in a given up year in the market.

Examples of layering: Sold put options on UPRO, owning triple leveraged ETFs outright like UPRO, and earning dividends from Cornerstone, Yieldmax, or Defiance who are mostly indexed.

This layering of the indexes AND modest margin usage, I should say, is how I outperform indexes. For more on how I use margin, see Vol. 3.

- I try to always sell put options on stocks and indexes that I WANT TO OWN outright, and selling puts just pays you to enter those positions with your risk mitigated.

- Whereas selling call options pays you to EXIT those positions.

- Selling puts on quality names lowers the risk of a given position in the portfolio, since the premium received lowers your cost basis.

For example:

Say you own Ford (F) at $10.00

& You sell a put for $1.00

Your cost basis now falls to $9 in Ford, which is lower than the current market price of $10.

- Think of selling puts as buying stocks with the training wheels still on if you fall.

- The only con to this strategy is, you can only make what you net in premiums ($1).

- The risk is the same as owning the stock.

- But again, the risk profile actually improves when premiums are gained.

- This is why I try to sell put options on things with HIGH IV (implied volatility) which gives you MORE options premiums to lower your risk profile with.

But you can’t just sell put options on any high flyer out there. There is an art to selecting these options, which we will discuss further!

Chapter 3:

Sell Puts on Stocks or ETFs That Are Indexed with LOW Share Prices

First of all, make sure when you sell put options that they are indexed, or represent a large part of the indexes.

You can sell puts on anything else that's risky, but keep those contract amounts SMALL, and make sure the share prices in those riskier names are SMALL, in order to avoid heavy assignment risk.

Assignment is what I WANT, remember, but not in risky stocks without dividends- especially when in margin.

So, make sure you keep these allocations smaller in risky names (keep Bitcoin at no more than 3-5% of your portfolio, for example.)

Again, DON'T sell puts on the higher share price names! It's not so much about the assignment amount here, although that's very important.

What’s equally as important is:

- You have to make sure you can withstand the volatility of these riskier puts on down days, especially if they are higher priced strikes.

- Higher priced strikes mean MORE dollars behind the moves down, which MAGNIFIES your losses.

For example:

If you sell 1 put option on NVDA at $1,000 per share for the attractive, higher priced premiums (before the 10:1 stock split) then if you get assigned- that’s $100,000 you have to fork over.

($1,000 x 100= $100,000) Options contracts are always in 100 share blocks.

- So, it’s not the assignment risk to worry about if you have deeper pockets, again.

- It’s about how much PAIN can your $100,000 position WITHSTAND if it fell 50% upon assignment!

- So, BEWARE of higher share price assignment risk, especially in non-indexed names.

If you sell puts on lower share price stocks/funds, let's say a $30 share fund like BITO, then you can only lose $3,000.

When you factor in premiums of $1,500 (which I received recently in BITO just for selling 1 contract), then you can only lose $1,500.

- This also means that BITO has to fall all the way down to $15 for you to actually start losing money.

- This is why I like options for Bitcoin, in particular. Again, I don't like owning Bitcoin outright due to the lack of dividends.

- Plus, the risk is too great for me in down markets to own Bitcoin, especially because I use margin.

But, the income earned from selling BITO puts is still more than most people make on single trades because I earned $1,500 just for clicking the mouse, with no timing or skill required (whereas traders lose 90% of the time, statistically).

Again, those high premiums lower my cost basis significantly, and make my margin interest fall precipitously.

Chapter 4:

Choose Liquid Options

Also, make sure the options you select to sell are liquid enough to use (i.e., have narrow bid/ask spreads, plenty of strikes to choose from, and multiple years to sell LEAPs with).

With more liquidity, not only can you get more out of your put option, but you can close out the position early without losing much to the illiquidity.

- Options go by the mid-point pricing model, which means the price you see is somewhere between the bid and ask shown.

- Learning how to enter and exit options based on this pricing model can be advantageous for you, and helps explain your executions better.

- When you preview your order before placing it, you see what they will give you on the execution.

So typically, if you have a gain in your sold option and can’t get a good execution that day, I’ll wait for the next day, or when there’s a change in market volatility, to get a better execution.

Now, you don’t have to worry about mid-point pricing and executions if you just hold out for assignment or expiration.

But, if you want to exit early, either to raise equity back in a down market, or to take the quick profit, then keep options mid-point pricing in mind.

Chapter 5:

Maintenance Is Everything!

Make sure to select put options with lower maintenance, just like we do with our dividend ETFs.

1.) Even if you don't use margin, selling too many puts robs you of your equity, especially when the maintenance and share price is too high.

2.) This is a killer to the FIRE lifestyle because you won't be able to withdraw freely out of your account to travel or pay bills with.

3.) In addition to lower maintenance increasing your equity amounts to withdraw from, the premiums also add back in some precious equity.

4.) Again, I don't like owning Bitcoin, or even selling puts on Bitcoin because the maintenance is usually 100%, which sucks up all of your equity.

5.) However, if you can find low share priced Bitcoin plays with high premiums, like BITO, then the higher risk and higher maintenance can be offset by the higher premiums and low share prices, which add back equity, once again.

So, lower share prices plus lower maintenance, combined with higher than average premiums (typically found in down markets) mitigates the risk of your options position, therefore minimizing portfolio drawdowns in bear markets.

Chapter 6:

Sell Puts to Lower Margin AND Increase Performance

Normally when you sell put options, you get the premiums to knockdown margin.

However, since you are making money with the option, your performance will increase as well.

(Assuming the stock stays sideways, goes slightly down, or goes up from here).

More performance is a given when you make money with options.

However, a lesser-known fact about selling LEAPs is they go up on up days, and can even go up some on down days (when volatility is minimal).

This leads to more day's gains in your portfolio on a given up day. To be clear, you can only earn what you pocket from the premiums received.

But, if I earn let's say 4,000 from Cornerstone on a given up day, and 2,000 from Yieldmax stocks that same day, I typically gain another 1K per day from the options side of my portfolio, too.

- They are not "real gains" because I can only make what I earn in the premiums.

- However, those days gains still factor into performance daily, and offset the erosion seen from our Defiance funds.

- Often times, I will close the puts for outright gains and sacrifice some premium earnings, declaring my victory on the trade (even if I left some premium money on the table).

This is because I have to wait until expiration to receive the full premium, which can take years sometimes since I sell LEAPs.

Therefore, I take the gains early, usually when I've made about 3/4 of the total premiums back in the form of outright capital gains.

Chapter 7:

Why I Choose LEAPs Over Short-Term Options

To go a step further, I sell LEAPs over short term options because they move less.

1.) The more time that is left in the contract, the slower it moves.

2.) So, LEAPs give me a bit of extra juice on up days, but won't hurt me too bad on down days since there is so much time left on the contract, making the volatility minimal.

3.) *This caveat is particularly useful when running higher amounts of margin.

I don't understand selling multiple short term puts just to make up for the lack of premiums that LEAPs normally give you.

Longer term puts (LEAPs) fetch higher premiums due to the longer time component, and short term put options pay you lower premiums.

- So, the only way to benefit from short term put options is to sell a lot of them.

- But if you do sell more puts, you risk not only more downside volatility from the short-term nature of the options, but you never lowered your cost basis with the added premiums from multiple contracts!
- Let this point sink in for a second…

When I sell options, I usually sell ONE contract for lots of money in the form of premiums.

This is because I pick the right options that are in the sweet spot- low share prices on the dips, high volatility, they are most likely indexed, or they belong to an important asset class with a lot of investor demand.

Take UPRO, for example, at $60 per share- and I receive $10 in premiums.

This lowers my cost basis to $50, significantly lowering my risk.

Now, let's say I sold a put on F again at $10 for $1. This, again, lowered my cost basis to $9.

Well, if I sell multiple contracts to increase my premiums on F, my cost basis is still $9, even if I received $1 x 5 times!

- Therefore, choosing one LEAP put option to sell is much more advantageous to me, for not only the higher premiums, but for the much lower cost basis & risk mitigation that short term puts cannot provide (because their premiums are smaller)!

- *Also, the indexes are always a buy.

- So, the longer the expirations with LEAPs, the better for me because whenever I'm assigned to the indexes it is ideal (especially near the bottom in down markets).

- Afterall, the SPY averages 7%/YR since its inception.

So, buying the indexes low is always a winning bet in the long run, since they represent every part of our daily lives.

The S&P 500 IS the government, and the S&P 500 IS life (some just don’t realize it).

If this dynamic changes, our way of life has truly changed with it as Americans, and money will be the last of our worries.

Chapter 8:

Increase Dividends with Puts, too! Not Just Premiums.

When Warren Buffet sold his put options on KO for a $7 million dollar gain, he didn't just lower his cost basis and risk by receiving the extra premiums.

He also increased his dividend yield!

KO pays a healthy dividend. So, in addition to the premiums received, if Buffet gets assigned to KO, he gets it at a lower cost basis AND increases his dividend amount once assigned.

Not to mention, he makes more money in his longs on the way back up, and he controls more KO to preserve his voting rights with competing board members.

The same goes with BITO. If/when we get assigned, which would take a fluke accident or extreme crash, then we get to go long with our new shares to make potentially

more money than we could by selling puts, alone, at an attractive yield at that, which increases our dividend income for the year.

Chapter 9:

How I Actually Sell Put Options

In addition to selecting put options that are indexed or high-quality asset classes, we know that they need to have low share prices, low maintenance, and high liquidity for best results.

But, when do we sell puts, and how?

Even though you can sell puts on major up days (since volatility spiked in that particular name), it is best to sell puts on down days, just like buying any other stock.

You sell them on down days to manage risk, of course (like with stocks), but you also sell them on down days for the added premiums you get when the VIX spikes.

When you do get the opportunity in the position you want, make sure to sell the put option at key support areas down low.

Set the strike price up top somewhere that the stock could realistically go, but factor in where the premiums place you at for assignment down low for your ***true*** strike price.

It is the same as buying the stock/ETF down at support of, let's say, the 200-day moving average, while the RSI was oversold.

(For more on how I use technical indicators, and buy stocks/ETFs on their key support areas, see Vol. 2).

When those technical indicators flash buy signals, you sell the put option instead of buying the stock outright, and your premiums determine where your true buy area is, not the strike.

In Ford's case above, when you sold the put for $1 (at $10 a share), and your cost basis fell to $9, well $9 will be lower than the market price, which is good. But, $9 should also be some sort of key support area as well, if possible.

1.) Enter the symbol of the ticker you want to use in the option order screen at E*TRADE: under "symbol"

2.) Select "put" on the options buy order screen where it says "select a strategy"

3.) Action: “Sell Open”
4.) Quantity: 1
5.) Expiration: The furthest date possible into the future
6.) Strike: Choose the strike price you want (which should be near key support of some kind)
7.) Price Type: Market (since they are liquid)
8.) Duration: “Good for day”
9.) Select “preview”
10.) Select “Place Order” if the premiums look attractive enough for you to do.

Chapter 10:

Conclusion

You now have the foundation needed for selling put options!

Adding this skill to your passive income repertoire will go a long way in your investing career, and help you reach FIRE quicker.

For more help on executing these trades in real-time, call me anytime or visit my FIRE Portfolio service on YouTube by clicking the link below.

My FIRE Portfolio Service:
https://www.youtube.com/channel/UCNPeflW6gWbswQom6NSCa_g/join

Godspeed!